**DEPARTMENT OF HOUSING AND COMMUNITY DEVELOPMENT**
**DIVISION OF HOUSING POLICY DEVELOPMENT**
651 Bannon Street, Suite 400
Sacramento, CA 95811
(916) 263-2911 / FAX (916) 263-7453
www.hcd.ca.gov

October 13, 2026

Albert Yang, Assistant City Attorney
City of Palo Alto Office of the City Attorney
250 Hamilton Avenue
Palo Alto, CA 94301

Dear Albert Yang:

**RE: City of Palo Alto – Enacted Ordinances to Implement SB 79 (Gov. Code, §§ 65912.155 - 65912.162) – Review Letter**

Thank you for submitting the City of Palo Alto's (City) adopted and enacted:

- Ordinance 5702 to temporarily exclude local historic resources designated under Palo Alto Municipal Code Chapter 16.49 per Government Code section 65912.161, subdivision (b)(1)(F),
- Ordinance 5703 to temporarily exclude properties that permit density and floor area ratios at no less than 50 percent of the standards in Government Code Section 65912.157 per Government Code section 65912.161, subdivision (b)(1)(A), and
- Ordinance 5704 to exclude local historic resources designated under Palo Alto Municipal Code 16.49 as an interim urgency ordinance[1] per section 65912.161, subdivision (b)(1)(F) (Ordinances).

The Ordinances amend Title 18 (Zoning Code) of the Palo Alto Municipal Code to add Section 18.14.070 to implement Senate Bill (SB) 79 within the City until July 1, 2027. The California Department of Housing and Community Development (HCD) understands that the City intends to submit a transit-oriented development alternative plan pursuant to Government Code section 65912.161, subdivision (a) prior to the expiration of the Ordinances. If the Ordinances are not renewed or a compliant alternative plan is not adopted by July 1, 2027, the full standards of Government Code section 65912.157 will apply. Please be aware that temporary exclusions expire one year after the adoption of the City's 7th cycle housing element.[2]

[1] HCD has not evaluated whether the City met the requirements for passing an urgency ordinance pursuant to Government Code section 65858. HCD understands that Ordinance 5704 expired on July 30, 2026. On July 17, 2023, the California Office of the Attorney General issued legal guidance for local governments regarding requirements under state law that apply to the enactment of urgency ordinances, available at https://oag.ca.gov/system/files/attachments/press-docs/7-17-23%20Letter%20Urgency%20Ordinances%20and%20Ministerial%20Approval%20of%20Housing%20Projects.pdf

[2] Gov. Code, § 65912.161, subd. (b)(1).

This letter consists of HCD's written findings pursuant to Government Code section 65912.160, subdivision (d)(3)(A) that the Ordinances are **in substantial compliance** with SB 79 as of the date of this letter.

**Findings**

According to the Ordinances and the included documents submitted by the City (detailed in Attachment A - Table 1), the Ordinances apply to properties located within one-half mile of a transit-oriented development (TOD) stop. Ordinances 5702 and 5704 identify sites that are temporarily excluded from the applicability of SB 79 because they were designated as local historic resources on the Palo Alto Historic Resources Inventory as of January 1, 2025.

Ordinance 5703 establishes a Transit Oriented Development (TOD) Combining District that covers all non-City-owned and non-historic resource sites,[3] and modifies development standards that would otherwise "preclude development of the densities and residential floor areas required for a site within the TOD Combining District to qualify under Government Code section, 65912.161, subd. (b)(1)(A)." [4] Unless the underlying zoning district would be more permissive, the TOD Combining District sets maximum floor area ratios at 50 percent of those specified under Government Code section 65912.157, subdivision (a) and adds additional objective development standards.[5] Additionally, the TOD Combining District does not have a maximum density within one-half mile of a TOD stop. Ordinance 5703 temporarily excludes these sites pursuant to Government Code section 65912.161, subdivision (b)(1)(A).

**Conclusion**

Provided the submitted documentation and assertions by the City are complete and accurate, HCD finds that all the requirements have been met for enacting an ordinance that is substantially compliant with SB 79 pursuant to Government Code section 65912.160, subdivision (c)(1).

Please note that the Ordinances, including applicable objective development standards, must not physically preclude a transit-oriented housing development that complies with the applicable development standards of Government Code section 65912.157,[6] as modified by the City pursuant to Government Code section 65912.161, subdivisions (b)(1)(A) and (b)(1)(F). HCD reserves the right to request additional information to monitor ongoing substantial compliance with SB 79 and may update its findings should new information come to light.

---

[3] Sites temporarily excluded pursuant to the Ordinances are identified on the City's zoning map.
[4] Palo Alto Municipal Code § 18.14.070, subd. (b).
[5] Palo Alto Municipal Code § 18.14.070, subd. (c).
[6] Gov. Code, § 65912.160, subd. (c)(1).

HCD appreciates the cooperation of the City of Palo Alto staff during the course of our review. HCD is committed to assisting the City in addressing all statutory requirements of SB 79. If you have any questions or need additional technical assistance, please contact David Ying, at david.ying@hcd.ca.gov.

Sincerely,



Grace Wu
Section Chief, Transit-Oriented Development
Housing Accountability Unit

# ATTACHMENT A

**Table 1 Submittal Documents**

| | Filename | Document Description | Submittal Date |
|---|---|---|---|
| 1 | 2026-05-28 Palo Alto Draft Temporary Ordinance for SB 79 no. 1.docx | Draft GOV 65912.161(b)(1)(A) temporary exclusion ordinance | 2026-05-28 |
| 2 | 2026-05-28 Palo Alto Draft Temporary Ordinance for SB 79 no. 2.docx | Draft GOV 6912.161(b)(1)(F) temporary exclusion ordinance | 2026-05-28 |
| 3 | Palo Alto Supporting Docs.png | R-1 GOV 65912.161(b)(1)(A) temporary exclusion feasibility analysis | 2026-05-28 |
| 4 | HistoricCategory_1_4_Historic Districts 10.10.25.xlsx | GOV 6912.161(b)(1)(F) historic resources list | 2026-06-10 |
| 5 | Att B Second Reading Temporary Ordinance for SB 79 50 percent option.docx | Second reading for GOV 65912.161(b)(1)(A) temporary exclusion ordinance | 2026-06-11 |
| 6 | Att C Interim Urgency Ordinance for SB 79 historic resources.docx | Draft GOV 6912.161(b)(1)(F) urgency ordinance | 2026-06-11 |
| 7 | Att D Interim Urgency Ordinance for SB 79 50 percent option.docx | Draft GOV 65912.161(b)(1)(A) urgency ordinance | 2026-06-11 |
| 8 | ORD 5702.pdf | Ordinance No. 5702 (GOV 6912.161(b)(1)(F) temporary exclusion ordinance) | 2026-07-15 |
| 9 | ORD 5703.pdf | Ordinance No. 5703 (GOV 65912.161(b)(1)(A) temporary exclusion ordinance) | 2026-07-15 |
| 10 | ORD 5704.pdf | Ordinance No. 5704 (GOV 6912.161(b)(1)(F) interim urgency ordinance) | 2026-07-15 |
| 11 | Palo Alto R-1 Massing Study.png | R-1 GOV 65912.161(b)(1)(A) temporary exclusion feasibility analysis | 2026-07-15 |
| 12 | zoning-districts-map-7-13-26.pdf | Zoning map with SB 79 | 2026-07-15 |
| 13 | sb-79-local-enactment-submittal-form | Local enactment submittal form | 2026-09-08 |